DSEH004 · PERFORMANCE MANAGEMENT AND EMPLOYEE ENGAGEMENT

Anatomy of a Modern Performance Management System

Week 4 · Lecture 1 · Unit I · Purposes of appraisal, the PM process, rating errors and rater training

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L1 · QUIZ 2

Quiz 2 opens now.

Phones go away once you submit. We begin the lecture when the quiz closes.

L1 · COMMIT BEFORE THEORY

Which comes first in designing a PM system: the rating scale, or the purpose the rating will serve?

Write one line. The answer decides almost everything else.

What is an appraisal for?

CLEVELAND, MURPHY AND WILLIAMS (1989)

Many uses

Organizations use one appraisal to decide pay and promotion, to develop people, to maintain systems and to document decisions.

MEYER, KAY AND FRENCH (1965)

Split roles

At General Electric, criticism in appraisal interviews was followed by defensiveness and lower later performance. Pay and development discussed together worked against each other.

One conversation cannot both judge a person for pay and invite that person to admit weakness.

Aguinis: a cycle, not an event

1. **Prerequisites**
   Strategy and job analysis: what the organization needs and what each role is for.

2. **Planning**
   Results, behaviors and development plans agreed at the start.

3. **Execution and assessment**
   Ongoing performance, feedback and self and manager assessment.

4. **Review and renewal**
   The review discussion, then revising the plan and the system itself.

Seventy years of format research

FORMAT	IDEA	LIMITATION
Graphic rating scale	Rate traits on a numbered scale	Vague anchors, halo
BARS	Anchor each level with a described behavior	Costly to build, job specific
Behavioral observation scale	Rate frequency of observed behaviors	Depends on actual observation

Landy and Farr (1980) called for a moratorium on format research: formats mattered far less than the rater.

Smith and Kendall (1963); Landy and Farr (1980)

L1 · RATING ERRORS

What distorts a rating

ERROR	WHAT HAPPENS	BHARAT TEXTILES SIGNAL
Recency	Recent events dominate the period	Q4 ratings inflated by 0.40
Leniency	Ratings cluster high	Few low ratings despite turnover
Halo	One trait colors all others	Uniform scores across dimensions
Central tendency	Everyone rated average	Little spread to act on

Frame of reference training

The method

Raters learn a shared theory of what each level of performance looks like, practice, and receive feedback.

The evidence

Frame of reference training produced the largest gains in rating accuracy among training approaches.

The limit

Training addresses ability to rate, not motivation to rate honestly.

Woehr and Huffcutt (1994)

The 0.40 recency inflation

THEORY	CAUSE	FIX
Measurement	Memory decays across a year	More frequent records and check ins
Motivated rater	Year end ratings feed pay	Separate development talk from pay
Relationship	Managers see people rarely	Raise the frequency of one to ones

REFERENCES

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